QUARTERLY INVESTOR REPORT

Foxglove Lofts | St. Louis, MO

Investment	Foxglove Lofts
Quarter	2Q 2020
Report Date	May 22, 2022
Sponsor	Sunbelt Ridge Acquisitions
Occupancy	95.4%

Business Plan Progress

The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Projected levered IRR is 9.2% with an equity multiple of 1.44x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 3.1% on contributed capital. Resident turnover has averaged 7.5% annually with renewal retention above 91.8%. Average in-place rent is $2,067 per month against an average unit size of 802 square feet.

Average in-place rent is $2,067 per month against an average unit size of 802 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 6.4% with an equity multiple of 1.24x over the hold period. Resident turnover has averaged 2.4% annually with renewal retention above 95.3%.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 19th business day. Collections for the period were 95.3% of billed charges, with bad debt of 6.2% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Resident turnover has averaged 5.2% annually with renewal retention above 92.8%. Service requests are tracked through a work-order system with an average completion time of 15 hours. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Service requests are tracked through a work-order system with an average completion time of 3 hours. Resident turnover has averaged 12.9% annually with renewal retention above 92.9%. Collections for the period were 92.2% of billed charges, with bad debt of 3.4% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Risk Considerations

Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 7.9% with an equity multiple of 1.39x over the hold period. Resident turnover has averaged 6.3% annually with renewal retention above 93.1%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 3.1% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Management Commentary

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Investment Overview

The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 8.0% with an equity multiple of 1.18x over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Resident turnover has averaged 7.7% annually with renewal retention above 89.8%.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 92.2% of billed charges, with bad debt of 4.6% of gross potential income. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. Resident turnover has averaged 11.3% annually with renewal retention above 90.3%.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Service requests are tracked through a work-order system with an average completion time of 41 hours.

Risk Considerations

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 13.5% with an equity multiple of 1.28x over the hold period. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Resident turnover has averaged 12.3% annually with renewal retention above 90.4%. Distributions to investors for the quarter were paid at an annualized rate of 3.6% on contributed capital.

Distributions to investors for the quarter were paid at an annualized rate of 4.0% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 33 hours. Collections for the period were 96.0% of billed charges, with bad debt of 4.1% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Roof replacement - Bldg A	Site	01/19/23	Q3 2026	$546,000	$226,010	Deferred
Exterior paint	Building	11/26/24	Q4 2027	$357,000	$371,631	Deferred
ADA compliance	Interior	07/14/23	Q1 2025	$9,000	$2,715	In progress
Fence replacement	Building	03/31/26	Q1 2025	$445,000	$46,591	In progress
Door hardware	Building	06/05/23	Q3 2026	$634,000	$62,837	In progress
Parking lot resurfacing	Energy	12/07/25	Q2 2025	$104,000	$7,211	Approved
Roof replacement - Bldg C	Building	06/21/23	Q1 2025	$333,000	$329,789	In progress
Roof replacement - Bldg D	Energy	04/27/24	Q1 2025	$696,000	$538,188	Complete
Fence replacement	Building	02/16/25	Q3 2026	$30,000	$14,171	Approved
Parking lot resurfacing	Life Safety	02/02/25	Q2 2027	$173,000	$179,904	Complete
HVAC replacement	Interior	09/11/25	Q3 2026	$39,000	$39,171	In progress
Signage / monument	Life Safety	03/22/24	Q4 2027	$147,000	$119,273	Bidding
Fence replacement	Life Safety	08/14/23	Q4 2026	$147,000	$86,615	Deferred
Elevator modernization	Life Safety	08/03/26	Q1 2026	$421,000	$340,628	In progress
Security camera upgrade	Life Safety	03/16/25	Q4 2026	$746,000	$209,739	Deferred
Pool resurfacing	Energy	06/10/23	Q1 2025	$416,000	$158,137	Bidding
Pool resurfacing	Site	06/13/26	Q1 2025	$279,000	$239,599	In progress
Unit interior upgrades	Building	11/21/25	Q3 2026	$397,000	$175,275	Approved
ADA compliance	Life Safety	07/06/23	Q2 2026	$353,000	$333,098	In progress
HVAC replacement	Building	08/27/23	Q3 2027	$531,000	$462,464	Deferred
Signage / monument	Interior	02/15/24	Q4 2026	$197,000	$30,473	Deferred
Signage / monument	Building	11/20/24	Q4 2026	$687,000	$683,996	Complete
Fire alarm panel upgrade	Life Safety	07/23/25	Q2 2027	$789,000	$183,839	In progress
Lobby renovation	Building	10/12/24	Q2 2026	$395,000	$21,176	In progress
Landscape / irrigation	Interior	07/12/23	Q4 2026	$893,000	$516,766	Deferred
Lobby renovation	Site	08/24/23	Q4 2025	$90,000	$17,612	Deferred
Storefront glazing	Building	02/20/26	Q1 2025	$23,000	$9,454	Complete
ADA compliance	Building	04/22/25	Q4 2027	$776,000	$257,080	Approved
ADA compliance	Energy	01/09/25	Q2 2027	$428,000	$296,634	Bidding
Sewer line repair	Site	05/15/26	Q2 2025	$600,000	$27,308	In progress
Exterior paint	Interior	03/13/23	Q2 2027	$374,000	$47,172	Approved
Fence replacement	Interior	03/14/23	Q2 2026	$452,000	$246,422	Approved
HVAC replacement	Building	11/20/26	Q1 2025	$465,000	$2,315	Complete
Fence replacement	Building	08/06/24	Q1 2025	$322,000	$241,035	Approved
LED lighting retrofit	Life Safety	01/21/26	Q3 2027	$784,000	$205,812	Bidding
Landscape / irrigation	Building	07/09/26	Q4 2026	$485,000	$260,847	Approved
Signage / monument	Site	06/04/25	Q1 2027	$418,000	$281,013	Bidding
Door hardware	Interior	04/04/25	Q1 2025	$423,000	$84,470	In progress
Roof replacement - Bldg C	Interior	03/01/23	Q1 2025	$664,000	$282,108	Bidding
Elevator modernization	Building	08/23/25	Q3 2025	$644,000	$37,808	Complete

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Valuation Discussion

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $376,000 or approximately 40.57 per square foot, with real estate taxes representing the largest line item.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.65% reflects the in-place income and the stabilized occupancy assumption.

Submarket Analysis

Resident turnover has averaged 3.4% annually with renewal retention above 93.9%. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Market vacancy for comparable Multifamily product stands at 5.3%, down from 6.8% two years ago. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

The St. Louis Multifamily market has experienced absorption of 4500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 5-mile radius of the property is approximately $265,000 and has grown 5.6% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Operating Performance

The going-in capitalization rate of 7.50% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. Debt service coverage ratio was 6.27x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Management fees are calculated at 3.0% of collected revenue and are included in operating expenses.

Operating expenses totaled $172,000 or approximately 26.46 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.96% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.86x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $289,000, representing a 3.7% increase over the prior year.

Market Overview

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$429,913	$410,128	$433,863	$3,950	0.9%	$1,063.39
5010 Loss to Lease	$25,020	$25,712	$27,415	$2,395	9.6%	$67.19
5020 Vacancy Loss	$193,173	$180,589	$184,449	-$8,724	-4.5%	$452.08
5030 Concessions	$305,952	$291,048	$303,127	-$2,826	-0.9%	$742.96
5040 Bad Debt	$168,820	$174,866	$185,470	$16,650	9.9%	$454.58
5050 Late Fees	$261,783	$243,036	$243,384	-$18,399	-7.0%	$596.53
5060 Utility Reimbursements	$82,268	$83,303	$84,777	$2,508	3.0%	$207.79
5070 Parking Income	$92,623	$94,238	$96,672	$4,048	4.4%	$236.94
5080 Application Fees	$138,435	$129,794	$133,891	-$4,545	-3.3%	$328.16
5090 Pet Rent	$105,299	$98,183	$100,269	-$5,030	-4.8%	$245.76
5100 Laundry Income	$473,947	$503,892	$519,504	$45,558	9.6%	$1,273.30
5110 Cable/Internet Revenue	$357,498	$374,034	$385,399	$27,901	7.8%	$944.61
5120 CAM Reimbursements	$360,763	$335,911	$353,456	-$7,307	-2.0%	$866.31
5130 Tax Reimbursements	$125,308	$128,002	$134,220	$8,911	7.1%	$328.97
5140 Insurance Reimbursements	$441,666	$426,148	$455,389	$13,722	3.1%	$1,116.15
5150 Percentage Rent	$116,319	$113,689	$121,600	$5,281	4.5%	$298.04
5160 Misc. Income	$79,567	$74,305	$77,364	-$2,203	-2.8%	$189.62
5170 Payroll - Management	$259,610	$252,978	$266,179	$6,569	2.5%	$652.40
5180 Payroll - Leasing	$452,891	$446,137	$474,607	$21,716	4.8%	$1,163.25
5190 Payroll - Maintenance	$329,865	$345,301	$350,723	$20,858	6.3%	$859.61
5200 Payroll Taxes & Benefits	$312,683	$308,858	$322,435	$9,752	3.1%	$790.28
5210 Repairs - Plumbing	$489,397	$483,948	$499,933	$10,536	2.2%	$1,225.33
5220 Repairs - HVAC	$207,086	$202,271	$203,816	-$3,270	-1.6%	$499.55
5230 Repairs - Electrical	$405,614	$413,636	$434,361	$28,747	7.1%	$1,064.61
5240 Repairs - Appliances	$189,142	$181,159	$187,664	-$1,479	-0.8%	$459.96
5250 Painting & Decorating	$414,059	$437,911	$448,211	$34,152	8.2%	$1,098.56
5260 Flooring	$67,401	$62,038	$62,826	-$4,575	-6.8%	$153.98
5270 Make-Ready / Turnover	$197,724	$186,456	$187,493	-$10,231	-5.2%	$459.54
5280 Landscaping Contract	$71,898	$68,465	$72,191	$293	0.4%	$176.94
5290 Snow Removal	$88,876	$94,586	$100,874	$11,998	13.5%	$247.24
5300 Janitorial	$100,078	$97,238	$102,440	$2,361	2.4%	$251.08
5310 Pest Control	$39,763	$39,795	$41,524	$1,761	4.4%	$101.77
5320 Trash Removal	$40,083	$41,883	$42,868	$2,786	6.9%	$105.07
5330 Elevator Contract	$411,713	$428,780	$450,318	$38,605	9.4%	$1,103.72
5340 Fire & Life Safety	$450,453	$434,751	$456,602	$6,149	1.4%	$1,119.12
5350 Security	$96,314	$98,401	$102,074	$5,759	6.0%	$250.18
5360 Electricity - Common	$61,934	$57,523	$60,698	-$1,236	-2.0%	$148.77
5370 Gas - Common	$81,589	$85,355	$88,372	$6,783	8.3%	$216.60
5380 Water & Sewer	$56,592	$55,872	$58,268	$1,676	3.0%	$142.81
5390 Telephone/Internet	$281,426	$276,399	$293,869	$12,443	4.4%	$720.27
5400 Advertising	$479,392	$467,845	$493,543	$14,150	3.0%	$1,209.66

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Time is of the essence with respect to each and every provision of this instrument. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This document relates solely to Foxglove Lofts and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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